

Masson Lopez

Professor Rachapudi

ITAI 2372

February 10, 2025

A04 Assignment

AI is revolutionizing the finance industry, helping banks and financial institutions make smarter decisions. One key area is risk assessment, where AI uses forecasting methods to predict financial risks. Banks have identified that people aged 20-45, parents, and renters tend to spend the most, making them important groups to analyze when designing financial products. By understanding these spending patterns, banks can better manage risk and tailor services to customer needs.

AI is also transforming financial decision-making by balancing risk and return. With Generative AI, financial institutions can create highly personalized products based on demographic data, making banking more efficient and customer-friendly. AI-powered financial planning helps companies cut costs while expanding their offerings, allowing them to provide more value to clients.

However, as AI becomes more powerful, it also raises ethical and regulatory concerns. One major issue is AI bias, which can lead to unfair treatment of certain groups if pre-trained data isn't diverse or balanced. There's also the risk of data breaches and privacy leaks, as AI systems handle vast amounts of sensitive financial information. Because of this, financial institutions must focus on transparency, ethical AI practices, and strong regulations to ensure that AI benefits everyone fairly and securely.